

TEACH YOUR CHILDREN TO FISH

When we lecture about the relationship between cash gifts and economic achievement, people from the audience typically ask: “If not cash, then what form of gifts are more beneficial?” They are eager to learn how to enhance the economic productivity of their children. Here again, we remind them that teaching their children to be frugal is critical. Often those who are trained to be otherwise as children become adult hyperspenders, needing cash subsidies during their young and middle adult years.

What intergenerational transfers could help your children become economically productive adults? What should you give them? The affluent have a great appreciation for the value of a high-quality education. We asked millionaires if they agreed with the following statement:

♦ School/college learning is/was of little use to me in the real world of making a living.

Only 14 percent agreed; 6 percent had no opinion; and the balance, 80 percent, disagreed. That’s why millionaires spend a large amount of their resources on their children’s educations. What was the most frequently mentioned gift that millionaires received from their parents? Tuition!

All other economic gifts are mentioned by a significantly smaller proportion of millionaires. About one in three received some financial support in purchasing his first home; about one in five received an interest-free loan during his lifetime; only one in thirty-five ever received funds from his parents for mortgage payments.

What can you give your children to enhance the probability that they will become economically productive adults? In addition to an education, create an environment that honors independent thoughts and deeds, cherishes individual achievements, and rewards responsibility and leadership. Yes, the best things in life are often free. Teach your own to live on their own. It’s much less costly financially, and, in the long run, it is in the best interests of both the children and their parents.

There are countless examples of the inverse relationship between economic productivity and the presence of substantial economic gifts.